
A FRAMEWORK FOR LONG-TERM BUSINESS ANALYSIS

THE ANALYSIS WORKBOOK

Fillable Application Sheets — One Set Per Company Under Analysis
Companion to: A Framework for Long-Term Business Analysis

"Take a simple idea and take it seriously." — Charlie Munger

Print Sheets 1–9 fresh for every new company. Print Sheet 10 once per year.
For explanations of each gate and all definitions, see the Framework document.

HOW TO USE THIS WORKBOOK

Sheet	Title	Gate	When to print
1	Company Overview and Gate Tracker	—	Every new company
2	Circle of Competence	Gate 1	Every new company
3	Moat Identification	Gate 2	Every new company
4	Management Integrity	Gate 3	Every new company
5	Owner Earnings Calculation	Gate 4	Every new company
6	Inversion	Gate 5	Every new company
7	DCF Computation	Gate 6	Every new company
8	Reverse DCF	Gate 8	Every new company
9	Quarterly Monitoring Scorecard	Gate 7	Every quarter held
10	Position Log	—	Once per year

Rules:

1. Complete each sheet in sequence. A FAIL at any gate — stop. Do not complete remaining sheets for that company.
2. All figures must come from primary sources: 10-K, 10-Q, 20-F, 6-K, earnings call transcripts.
3. Do not use analyst estimates, adjusted metrics, or financial data aggregators.
4. For explanations of any term, refer to the Framework document.

Company name:		Ticker:		Exchange:	
Sector:		Industry:		Fiscal year end:	
Market cap:		Current price:		Analysis date:	
Currency:		Reporting currency:			

Business description — in your own words, no quoting management

How does it make money at the unit economics level?

Who are the customers and why do they pay?

Primary competitors:

My informational edge on this business:

Required — if none exists, reconsider whether this is within your circle of competence.

Gate	Title	Result	Date
1	Circle of Competence	☐ PASS ☐ FAIL — stop	
2	Moat Identification	☐ PASS ☐ FAIL — stop	
3	Management Integrity	☐ PASS ☐ FAIL — stop	
4	Financial Quality	☐ PASS ☐ FAIL — stop	
5	Inversion	☐ PASS ☐ FAIL — stop	
6	Valuation	☐ PASS ☐ WAIT for price	
7	Position Sizing	☐ ACTIVE	
8	Reverse DCF	☐ PASS — enter ☐ FAIL — wait	

Final decision: ☐ ENTER POSITION ☐ WATCHLIST — WAIT FOR PRICE ☐ PASS — DOES NOT QUALIFY

Max buy price: _____ **Conviction entry:** _____ **Position size:** _____

Reason:

SHEET 2 CIRCLE OF COMPETENCE | Gate 1

Can I independently verify the moat claim without relying on management's description?

Gate question: ☐ YES — proceed to Gate 2 ☐ NO — stop here

Q1. Do I understand how the business makes money at the unit economics level?

☐ YES ☐ NO

Q2. Can I identify the primary cost drivers without reading the annual report?

☐ YES ☐ NO

Q3. Do I have an informational edge — or am I relying on publicly available narrative?

☐ YES — describe below ☐ NO — publicly available

Q4. For multi-segment businesses: can I evaluate each segment independently?

☐ YES ☐ NO ☐ N/A — single segment

Failure mode check

Check YES only if applicable — each is a signal to reconsider.

☐ YES — confusing familiarity with understanding ☐ NO

☐ YES — assuming domain expertise transfers ☐ NO

☐ YES — thesis built on narrative rather than verifiable numbers ☐ NO

Moat mechanism in my own words (write from memory — no quoting management):

GATE 1: [PASS] [FAIL — STOP]

SHEET 3

MOAT IDENTIFICATION | Gate 2

Evaluate each segment independently. Never assess a conglomerate as a single moat.

SEGMENT 1

Segment name:

Moat type: ☐ SWITCHING COST ☐ NETWORK EFFECT ☐ INTANGIBLE ASSET ☐ COST ADVANTAGE ☐ NONE
What prevents a well-capitalised competitor from taking share?

Primary moat metric:

The single number most directly tied to this moat type: NRR for switching cost, MAU for network effect, brand premium for intangible asset, gross margin vs competitors for cost advantage.

8-quarter metric trend (pull exact values from primary source filings — 10-Q for Q1–Q3, 10-K for Q4):

Value = the exact figure from the filing. Dir = direction vs prior quarter: + improving, = flat, - deteriorating.

Quarter	Value	Dir	Quarter	Value	Dir	Quarter	Value	Dir	Quarter	Value	Dir
Q1:		±	Q2:		±	Q3:		±	Q4:		±
Q5:		±	Q6:		±	Q7:		±	Q8:		±

Moat direction: ☐ WIDENING ☐ STABLE ☐ NARROWING

Classification: ☐ WIDE (20+ yrs) ☐ NARROW (10–20 yrs) ☐ NONE

Single scenario that destroys this moat:

SEGMENT 2 (N/A if single segment)

Segment name:

Moat type: ☐ SWITCHING COST ☐ NETWORK EFFECT ☐ INTANGIBLE ASSET ☐ COST ADVANTAGE ☐ NONE
What prevents a well-capitalised competitor from taking share?

Primary moat metric:

The single number most directly tied to this moat type: NRR for switching cost, MAU for network effect, brand premium for intangible asset, gross margin vs competitors for cost advantage.

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Quarter	Value	Dir	Quarter	Value	Dir	Quarter	Value	Dir	Quarter	Value	Dir
Q1:		±	Q2:		±	Q3:		±	Q4:		±
Q5:		±	Q6:		±	Q7:		±	Q8:		±

Moat direction: ☐ WIDENING ☐ STABLE ☐ NARROWING

Classification: ☐ WIDE (20+ yrs) ☐ NARROW (10–20 yrs) ☐ NONE

Single scenario that destroys this moat:

SEGMENT 3 (N/A if two or fewer segments)

Segment name: _____

Moat type: ☐ SWITCHING COST ☐ NETWORK EFFECT ☐ INTANGIBLE ASSET ☐ COST ADVANTAGE ☐ NONE

What prevents a well-capitalised competitor from taking share?

Primary moat metric:

The single number most directly tied to this moat type: NRR for switching cost, MAU for network effect, brand premium for intangible asset, gross margin vs competitors for cost advantage.

8-quarter metric trend (pull exact values from primary source filings — 10-Q for Q1–Q3, 10-K for Q4):

Value = the exact figure from the filing. Dir = direction vs prior quarter: + improving, = flat, - deteriorating.

Quarter	Value	Dir	Quarter	Value	Dir	Quarter	Value	Dir	Quarter	Value	Dir
Q1:		±	Q2:		±	Q3:		±	Q4:		±
Q5:		±	Q6:		±	Q7:		±	Q8:		±

Moat direction: ☐ WIDENING ☐ STABLE ☐ NARROWING

Classification: ☐ WIDE (20+ yrs) ☐ NARROW (10–20 yrs) ☐ NONE

Single scenario that destroys this moat:

OVERALL SUMMARY

Primary moat type(s): _____

Overall: ☐ WIDE ☐ NARROW ☐ NONE

DCF fade: ☐ 10yr + 15yr (wide) ☐ 10yr + 10yr (narrow) ☐ 5yr + 5yr (none)

GATE 2: [PASS] [FAIL — STOP]

SHEET 4 MANAGEMENT INTEGRITY | Gate 3

Evaluate three dimensions in sequence. A failure on integrity disqualifies regardless of the score on the other two. Evidence from primary sources only — 10-K, 10-Q, 20-F, 6-K, earnings call transcripts.

How to verify: Pull the last 3 annual filings and last 8 earnings call transcripts. Read management commentary sections. Search for metrics that appear in one period and disappear in the next.

CEO: _____ **Tenure:** _____ **CFO:** _____ **Tenure:** _____

DIMENSION 1 — INTEGRITY (binary: pass or fail)

Do they disclose unflattering information voluntarily, or only when legally required?

☐ YES ☐ NO

When a key metric deteriorated, did they lead with it or bury it?

☐ YES ☐ NO

Any history of selective disclosure — metric used verbally when positive, omitted from filings when negative?

☐ YES ☐ NO

Any earnings restatements, SEC comment letters, or disclosure failures?

☐ YES ☐ NO

Evidence source (filing name + date):

Integrity verdict: ☐ PASS ☐ FAIL — DISQUALIFIED — stop

DIMENSION 2 — COMPETENCE

How to verify: Compare ROIC across 5+ years. Read capital allocation discussion in annual letters. Track acquisition history and stated rationale vs outcomes.

Capital allocation record — returns above cost of capital over a full cycle?

☐ YES ☐ NO ☐ INSUFFICIENT DATA

Evidence:

Distinguish maintenance from growth capital in communications to shareholders?

☐ YES ☐ NO

Demonstrated ability to say no to acquisitions and buybacks at bad prices?

☐ YES ☐ NO ☐ N/A

Competence verdict: ☐ POSITIVE ☐ NEGATIVE

DIMENSION 3 — ALIGNMENT

How to verify: Check proxy statement (DEF 14A) for ownership, compensation structure, and incentive metrics.

Significant personal wealth tied to long-term equity — shares held, not options?

☐ YES ☐ NO

Ownership detail:

Compensation structured around owner earnings or adjusted metrics?

☐ OWNER EARNINGS ☐ ADJUSTED METRICS ☐ UNCLEAR

Communicate with shareholders as partners or as a constituency to manage?

☐ PARTNERS ☐ MANAGED

Alignment verdict: ☐ POSITIVE ☐ NEGATIVE

GATE 3: [PASS] [FAIL — STOP]

SHEET 5 OWNER EARNINGS CALCULATION | Gate 4

Pull all figures from primary sources only — 10-K, 10-Q, 20-F, 6-K. No analyst estimates. No adjusted metrics.

Filing type:	☐ 10-K ☐ 20-F ☐ 6-K	Filing date:		Fiscal year:	
Company:		Currency:		Analysis date:	

STEP 1 — NET INCOME (income statement)

Net income (attributable to shareholders):

Less: one-time items stripped

One-time items are non-recurring charges or gains with no bearing on future earnings. Examples: asset sale gains, restructuring charges, litigation settlements, impairment write-downs. List each item and justify why it is truly non-recurring.

Adjusted net income:

STEP 2 — D&A; AND TOTAL CAPEX (cash flow statement)

Depreciation and amortization (D&A;):

Total capital expenditures:

STEP 3 — MAINTENANCE CAPEX

Maintenance CapEx is the capital required to maintain existing competitive position and unit volume — not growth. It is not separately disclosed by most companies. Use the checklist below to determine the right percentage.

STEP 3A — CLASSIFY THE BUSINESS (answer every question from the filing)

Quick ratio checks (pull from the income statement and cash flow statement):

Ratio	Formula	Your figure	Signal
D&A; / Revenue	D&A; ÷ Revenue	%	>8% = capital-intensive <4% = asset-light
CapEx / Revenue	Total CapEx ÷ Revenue	%	>8% = capital-intensive <3% = asset-light
CapEx / D&A;	Total CapEx ÷ D&A;	x	>1.5x = growing heavy <0.8x = asset-light

Physical asset test (check Y / N for each):

Question	Y / N	What it means
Does the business own factories, machinery, or physical infrastructure?		Y = capital-intensive signal
Does it own or lease a large fleet of vehicles, aircraft, or vessels?		Y = capital-intensive signal
Does it own significant real estate (not just an office)?		Y = capital-intensive signal
Is most D&A; from depreciating physical assets (not acquired intangibles)?		Y = capital-intensive signal
Would the business stop operating if it stopped buying equipment for 2 years?		Y = capital-intensive signal
Is the primary asset a software platform, brand, license, or customer list?		Y = asset-light signal
Is most CapEx described as "product development" or "expansion" — not "replacement"?		Y = asset-light signal
Could the business outsource all its physical infrastructure without losing its moat?		Y = asset-light signal

Count the signals. More capital-intensive signals = use 65–70%. More asset-light signals = use 20–30%. Mixed = use 50% and note your reasoning below.

Management disclosure check (always check this first — it overrides the checklist):

Search the MD&A; section of the 10-K and earnings call transcripts for the words "maintenance," "sustaining," "growth capital," or "capex split." Some management teams disclose the split directly.

Does management disclose maintenance vs growth CapEx split? ☐ YES — management discloses the split directly ☐ NO — use the checklist classification above

If YES: record the exact quote and filing reference in the Source field below. Use that figure directly — do not apply a percentage.

CLASSIFICATION RESULT

Business type: ☐ CAPITAL-INTENSIVE (use 65–70%) ☐ ASSET-LIGHT (use 20–30%) ☐ HYBRID / MIXED (use 50%)

Reasoning (one sentence — why this classification):

$$\text{Maintenance CapEx} = \text{Total CapEx} \times \text{Maintenance \%}$$

If management discloses the split directly, use that figure and skip the percentage calculation.

Maintenance % applied: _____ Maintenance CapEx: _____ Growth CapEx: _____

Source (if management-disclosed): _____

STEP 4 — CALCULATE OWNER EARNINGS

$$\text{OE} = \text{Net Income} + \text{D\&A;} - \text{Maintenance CapEx} - \Delta\text{Working Capital}$$

Δ Working Capital = Change in net working capital required to maintain operations. Increase in working capital = cash outflow (negative). Decrease = cash inflow (positive). Source: cash flow statement, changes in working capital section.

Adjusted net income:	\$	Source / page:
+ D&A;:	+\$	Source / page:
– Maintenance CapEx:	–\$	
– Δ Working Capital:	–\$	See note below
= OWNER EARNINGS:	= \$	

Δ Working Capital: change in net working capital from the cash flow statement. An increase in working capital is a cash outflow (subtract). A decrease is a cash inflow (add).

STEP 5 — SBC CHECK

If SBC > 15% of OE, the reported earnings overstate what owners actually keep. Deduct it.

$$\text{SBC-Adjusted OE} = \text{OE} - \text{SBC (only if SBC > 15\% of OE)}$$

SBC (from cash flow
statement): _____

SBC as % of OE: _____

SBC adjustment required (>15%)? ☐ YES — Adjusted OE = OE \$_____ – SBC \$_____ = \$_____ ☐ NO

FINAL OWNER EARNINGS BASE: \$ _____

STEP 6 — HISTORICAL OE TREND (from prior annual filings)

Year	Net Income (\$)	D&A; (\$)	Maint CapEx (\$)	ΔWC (\$)	OE (\$)	YoY %
	\$	\$	\$	\$	\$	%
	\$	\$	\$	\$	\$	%
	\$	\$	\$	\$	\$	%
	\$	\$	\$	\$	\$	%
	\$	\$	\$	\$	\$	% ← current

$$\text{OE CAGR} = (\text{End OE} \div \text{Start OE}) ^ { (1 \div \text{Years}) } - 1$$

$$\text{ROIC} = \text{Owner Earnings} \div \text{Invested Capital}$$

5-year OE CAGR: _____
 OE > revenue growth? ☐ Y ☐ N
 ROIC > 15%? ☐ Y ☐ N

STEP 7 — BALANCE SHEET

A fortress balance sheet means net cash positive. The business can survive a bad cycle without existential risk.

Cash + equivalents (\$)	Short-term investments (\$)	Total debt (\$)	Net cash / (net debt) (\$)	As % of market cap
\$	\$	\$	\$	%

Net Cash = Cash + Short-Term Investments – Total Debt

Survives 50% OE decline for 2 years? ☐ ☐ YES ☐ NO

Why 50%? This threshold is severe enough to represent a genuine crisis — recession, lost major customer, or industry disruption — while still being survivable for a fortress balance sheet.

GATE 4: [PASS] [FAIL — STOP]

SHEET 6

INVERSION | Gate 5

Attempt to destroy the thesis before building any DCF. This gate is not optional.

STEP A — LIST EVERY ASSUMPTION THE BULL CASE REQUIRES TO BE TRUE

If you cannot list them, you do not have a thesis.

1.

2.

3.

4.

5.

6.

STEPS B / C / D — INVERT, CHECK, AND SCORE

For each assumption: construct the failure scenario, check whether management has addressed it on the record (primary source only), then score.

Score:	☐ D Direct	☐ DS Structural	☐ P Partial	☐ U Unanswered
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INVERSION 1: MANDATORY — MOAT DESTRUCTION (technology shift, new entrant, regulatory change)

Failure scenario:

Management response — primary source only (filing name + date):

Score:	☐ D Direct	☐ DS Structural	☐ P Partial	☐ U Unanswered
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INVERSION 2: MANDATORY — MANAGEMENT FAILURE (key person, succession, incentive misalignment)

Failure scenario:

Management response — primary source only (filing name + date):

Score:	☐ D Direct	☐ DS Structural	☐ P Partial	☐ U Unanswered
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INVERSION 3: MANDATORY — BALANCE SHEET STRESS (50% OE decline for 2 years — survives?)
Failure scenario:

Management response — primary source only (filing name + date):

Score:	☐ D Direct	☐ DS Structural	☐ P Partial	☐ U Unanswered
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Why 50%? Severe enough to represent a genuine multi-year crisis. A fortress balance sheet survives it.

INVERSION 4: ADDITIONAL INVERSION

Failure scenario:

Management response — primary source only (filing name + date):

Score:

☐ D Direct

☐ DS Structural

☐ P Partial

☐ U Unanswered

INVERSION 5: ADDITIONAL INVERSION

Failure scenario:

Management response — primary source only (filing name + date):

Score:

☐ D Direct

☐ DS Structural

☐ P Partial

☐ U Unanswered

MANDATORY — THESIS-BREAKING METRIC

The single number that, if it deteriorates for two consecutive quarters, means the core thesis is wrong. Examples: NRR for a SaaS switching-cost moat, maintenance revenue growth for a niche software business, gross margin trend for a cost-advantage moat.

Metric name: _____

Why this metric: _____

Current value: _____

Exit threshold (two consecutive quarters at or below): _____

Next checkpoint date: _____

GATE 5: [PASS] [FAIL — STOP]

SHEET 7 DCF COMPUTATION | Gate 6

Only reach this sheet if Gates 1–5 are all passed. The DCF is the final confirmation — not the starting point.

A note on method: running a DCF in isolation would be a Benjamin Graham approach — not inherently wrong, but Graham used valuation as the primary filter, buying cheap businesses without requiring a durable moat or exceptional management. This framework is more advanced. Five qualitative gates have already confirmed the business is within your circle, the moat is real, management is honest, the financials are sound, and the thesis survives inversion. The DCF here is not the analysis — it is the final check that you are not overpaying for a business you already know is exceptional. That distinction is the Buffett/Munger synthesis of Graham: the same tool, used last instead of first.

$$\text{WACC} = \text{RF Rate} + \text{ERP} + \text{Company-Specific Premium}$$

$$\text{RF Rate} = \text{30-yr Treasury (or sovereign equivalent for non-USD)}$$

$$\text{ERP} = \text{Equity Risk Premium} = 5\text{--}6\% \mid \text{Company-Specific} = 0\text{--}2\%$$

$$\text{Standard US large-cap quality: } 10.5\%$$

INPUTS

Company:		Currency:		Analysis date:	
Owner Earnings Base:		Shares (diluted):		Net cash/(debt):	
RF rate:		ERP:		Company-specific:	
WACC:		Moat class:		Fade structure:	

$$\text{OE (Year N)} = \text{Prior Year OE} \times (1 + \text{Growth Rate})$$

$$\text{Disc Factor} = 1 \div (1 + \text{WACC}) ^ \text{Year}$$

$$\text{PV} = \text{OE} \times \text{Disc Factor}$$

$$\text{Terminal Value} = \text{Final Fade OE} \times (1 + \text{TGR}) \div (\text{WACC} - \text{TGR})$$

$$\text{Terminal PV} = \text{TV} \div (1 + \text{WACC}) ^ \text{Final Fade Year}$$

$$\text{Enterprise Value} = \text{Sum of all PVs} + \text{Fade Period PV} + \text{Terminal PV}$$

$$\text{IV per Share} = (\text{Enterprise Value} + \text{Net Cash}) \div \text{Diluted Shares}$$

TGR = Terminal Growth Rate. Bear: 2% | Base: 3% | Bull: 3%. TGR must always be below WACC.

SCENARIO: BEAR | Terminal Growth Rate (TGR): 2%

Yr	Growth %	OE (\$)	Disc Factor	PV (\$)	Cumul PV (\$)
1	%	\$		\$	\$
2	%	\$		\$	\$
3	%	\$		\$	\$
4	%	\$		\$	\$
5	%	\$		\$	\$
6	%	\$		\$	\$
7	%	\$		\$	\$
8	%	\$		\$	\$
9	%	\$		\$	\$
10	%	\$		\$	\$
	Fade Period PV	\$			
	Terminal Value:	\$			
	Terminal PV:	\$			
	Enterprise Value	\$			
	+ Net Cash:	\$		BEAR IV/Share:	\$

SCENARIO: BASE | Terminal Growth Rate (TGR): 3%

Yr	Growth %	OE (\$)	Disc Factor	PV (\$)	Cumul PV (\$)
1	%	\$		\$	\$
2	%	\$		\$	\$
3	%	\$		\$	\$
4	%	\$		\$	\$
5	%	\$		\$	\$
6	%	\$		\$	\$
7	%	\$		\$	\$
8	%	\$		\$	\$
9	%	\$		\$	\$
10	%	\$		\$	\$
	Fade Period PV	\$			
	Terminal Value:	\$			
	Terminal PV:	\$			
	Enterprise Value	\$			
	+ Net Cash:	\$		BASE IV/Share:	\$

SCENARIO: BULL | Terminal Growth Rate (TGR): 3%

Yr	Growth %	OE (\$)	Disc Factor	PV (\$)	Cumul PV (\$)
1	%	\$		\$	\$
2	%	\$		\$	\$
3	%	\$		\$	\$
4	%	\$		\$	\$
5	%	\$		\$	\$
6	%	\$		\$	\$
7	%	\$		\$	\$
8	%	\$		\$	\$
9	%	\$		\$	\$
10	%	\$		\$	\$
	Fade Period PV	\$			
	Terminal Value:	\$			
	Terminal PV:	\$			
	Enterprise Value	\$			
	+ Net Cash:	\$		BULL IV/Share:	\$

SENSITIVITY TABLE — Base Scenario | IV per Share (USD)

TGR = Terminal Growth Rate. The rate at which owner earnings grow in perpetuity after the fade period. Must be below WACC or the formula breaks.
Thesis must hold across the majority of this grid.

WACC \ TGR	2.0%	2.5%	3.0%	3.5%	4.0%
9.0%	\$	\$	\$	\$	\$
9.5%	\$	\$	\$	\$	\$
10.0%	\$	\$	\$	\$	\$
10.5% *	\$	\$	\$	\$	\$
11.0%	\$	\$	\$	\$	\$
11.5%	\$	\$	\$	\$	\$

* = your base assumptions

$$\text{MOS \%} = (\text{IV} - \text{Current Price}) \div \text{IV}$$

$$\text{Max Buy (20\% MOS)} = \text{IV} \times 0.80 \text{ (wide or narrow moat)}$$

$$\text{Max Buy (30\% MOS)} = \text{IV} \times 0.70 \text{ (no moat)}$$

MARGIN OF SAFETY SUMMARY

	IV (\$)	MOS %	Max buy (20% MOS)	Max buy (30% MOS)
Bear	\$	%	\$	\$
Base	\$	%	\$	\$
Bull	\$	%	\$	\$

Current price: _____

GATE 6: [PASS] [FAIL — WAIT FOR PRICE]

SHEET 8 REVERSE DCF | Gate 8

Run after the forward DCF in Gate 6. Confirms asymmetric payoff before committing capital.

WACC

Current price: _____ **:** _____ **OE base:** _____ **Analysis date:** _____

SECTION 1 — IMPLIED OE BASE (keep base growth rates fixed)

Solve for the OE base that makes current market price = intrinsic value. Ask: what would the business need to earn today for the current price to be fair?

Implied OE base: _____

Benchmark	Value (\$)	Implied as % of benchmark	Verdict
Current OE	\$	100%	—
Trough OE (worst year: ____)	\$	%	[ABOVE / BELOW]
Peak OE (best year: ____)	\$	%	[ABOVE / BELOW]

Overall verdict: ☐ BELOW TROUGH ☐ BELOW CURRENT ☐ AT CURRENT ☐ ABOVE CURRENT ☐ ABOVE PEAK

SECTION 2 — IMPLIED GROWTH RATE (keep OE base fixed)

pp = percentage points. A decel profile of 1pp/yr means the growth rate decreases by 1 percentage point each year until it reaches the terminal rate. This models how quickly competitive advantages fade.

Historical OE CAGR (5yr): _____ **Recent full year growth:** _____ **Mgmt guidance:** _____

Decel Profile	Implied Yr1 Growth	vs CAGR	Verdict
Slow (1pp/yr)	%	%	[ACHIEVABLE] [STRETCHED] [HEROIC]
Moderate (1.5pp/yr)	%	%	[ACHIEVABLE] [STRETCHED] [HEROIC]
Base (2pp/yr)	%	%	[ACHIEVABLE] [STRETCHED] [HEROIC]
Fast (2.5pp/yr)	%	%	[ACHIEVABLE] [STRETCHED] [HEROIC]

ACHIEVABLE = implied growth at or below historical CAGR. STRETCHED = above CAGR but below bull case. HEROIC = above bull case.

SECTION 3 — PRICE LADDER

Level	Price (\$)	vs Current
Bear 30% MOS entry	\$	Need ____% drop
Bear 20% MOS entry	\$	Need ____% drop
Base 30% MOS entry	\$	Need ____% drop
Base 20% MOS entry ← minimum entry	\$	Need ____% drop
>>> CURRENT PRICE	\$	—
Base IV	\$	____% above current
Bull IV	\$	____% above current

Upside = Base IV – Current Price

Downside = Current Price – Bear IV

Asymmetry Ratio = Upside ÷ Downside

SECTION 4 — ASYMMETRY RATIO

	Calculation	Amount (\$)	(%)
Upside	Base IV \$_____ – Current \$_____ =	\$	%
Downside	Current \$_____ – Bear IV \$_____ =	\$	%
Asymmetry Ratio	Upside ÷ Downside =	_____ : 1	

☐ ☐ > 3:1 High conviction ☐ ☐ 2–3:1 Acceptable entry ☐ ☐ < 2:1 No MOS — wait

GATE 8: [PASS — ENTER] [FAIL — WAIT]

Complete every quarter for every held position. One sheet per company per quarter.

Company:		Ticker:		Quarter:		Date:	
Entry price:		Avg cost:		Current price:		Position size:	

Thesis-confirming metric (the number that proves the moat is intact if it grows):

Thesis-breaking metric (exit if below threshold for 2 consecutive quarters):

SECTION 1 — THESIS-CONFIRMING METRIC

This is the single quantitative measure most directly tied to your moat. Growing = moat intact. Flat or declining = investigate.

Metric name:

Prior quarter value:

This quarter value:

YoY change:

Direction: ☐ IMPROVING ☐ FLAT ☐ DETERIORATING

4-quarter trend (oldest → newest):

SECTION 2 — THESIS-BREAKING METRIC

Metric name:

Prior quarter value:

This quarter value:

Consecutive qtrs deteriorating:

Direction: ☐ IMPROVING ☐ FLAT ☐ DETERIORATING

EXIT TRIGGERED? (2 consecutive qtrs): ☐ YES — EXIT POSITION ☐ NO — CONTINUE HOLDING

SECTION 3 — MANAGEMENT INTEGRITY CHECK

Any metric previously disclosed now omitted? ☐ Y ☐ N

Any guidance changed materially without warning? ☐ Y ☐ N

Any unflattering item volunteered unprompted? ☐ Y ☐ N

Any new SEC correspondence or restatement? ☐ Y ☐ N

Integrity status: ☐ INTACT ☐ YELLOW FLAG — detail below ☐ DISQUALIFIED

SECTION 4 — MOAT AND FINANCIAL UPDATE

Competitive position changed this quarter? ☐ Y ☐ N

New entrant or technology threat identified? ☐ Y ☐ N

**Owner Earnings this
quarter:**

YoY:

Trailing 4-qtr OE:

$$\text{OE \% Change} = (\text{This Quarter OE} - \text{Base OE}) \div \text{Base OE}$$

OE changed > 10% vs DCF base? ☐ YES — rerun Gates 4, 5, and 6 ☐ NO

SECTION 5 — SELL DECISION TREE

Breaking metric triggered (2 consecutive quarters)? ☐ YES — EXIT ☐ NO

Management integrity failed? ☐ YES — EXIT ☐ NO

Price > 120% of intrinsic value? ☐ YES — REDUCE ☐ NO

OE changed > 10% vs DCF base? ☐ YES — RERUN Gates 4–8 ☐ NO

Superior opportunity with wider MOS? ☐ YES — EVALUATE ☐ NO

QUARTERLY DECISION: ☐ HOLD ☐ ADD ☐ REDUCE ☐ EXIT ☐ RERUN

Reasoning:

SHEET 10

POSITION LOG

Print once per year. One row per transaction.

Year: _____

TRANSACTION LOG

Date	Ticker	Buy / Sell	Shares	Price (\$)	Total (\$)	Account
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	
				\$	\$	

CURRENT HOLDINGS

Ticker	Shares	Avg Cost	Current \$	Base IV	MOS %	Account	Last reviewed
		\$	\$	\$	%		
		\$	\$	\$	%		
		\$	\$	\$	%		
		\$	\$	\$	%		
		\$	\$	\$	%		
		\$	\$	\$	%		
		\$	\$	\$	%		
		\$	\$	\$	%		
		\$	\$	\$	%		
		\$	\$	\$	%		

WATCHLIST (passed Gates 1–5 — waiting for price)

Ticker	Company	Base IV	Max Buy	Current \$	Gap %	Next Catalyst
		\$	\$	\$	%	
		\$	\$	\$	%	
		\$	\$	\$	%	
		\$	\$	\$	%	
		\$	\$	\$	%	
		\$	\$	\$	%	
		\$	\$	\$	%	
		\$	\$	\$	%	

ELIMINATED (failed a gate — do not revisit without cause)

Ticker	Company	Gate failed	Primary reason	Date
		Gate		
		Gate		
		Gate		
		Gate		
		Gate		
		Gate		
		Gate		
		Gate		

"The goal is not to win. It is to see how wrong you can be and still be right. Margin of safety, moat assessment, conservative DCF modeling, and position sizing are each sequential admissions of fallibility."

A Framework for Long-Term Business Analysis — The Analysis Workbook — May 2026